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COLLEGE OF BUSINESS AND ECONOMICS

DEPARTMENT OF MANAGEMENT

ASSESSMENT OF COMPENSATION MANAGEMENT PRACTICE

**(IN CASE OF COMMERCIAL BANK OF ETHIOPIA
CHILALO BRANCH)**

**A RESEARCH PROPOSAL SUBMITTED TO ARSI UNIVERSITY, COLLEGE OF BUSINESS AND
ECONOMICS, DEPARTMENT OF MANAGEMENT IN PARTIAL FULFILLMENT OF THE
REQUIREMENT FOR THE DEGREE OF BACHELOR OF ARTS (BA) IN MANAGEMENT**

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ABSTRACT

This proposal will be conducted in commercial bank of Ethiopia at Chilalo branch on compensation management practice. The specific objectives for this study were to to assess existing compensation practices of the organization to assess employees' perception to the reward system. To identify the factors that hinder the implementation of compensation managements practice to explain contribution of compensation system on employees and the bank. In this study the researcher used both primary and secondary data and the primary data collection evolves questionnaires and interviews, whereas, the secondary data collection involves reviewing at different written and unwritten materials and from internet, books, and document of the bank. In addition, the researcher will have selected each sample using census. And the data will be analyzed using descriptive method. the collected data will be processed and organized in descriptive manner.

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CHAPTER ONE

1. INTRODUCTION

1.1. Back ground of the study

As the business environment become increasingly complex and global, the challenge to create and maintain effective compensation program, given cost constraint, also require greater professional expertise, organizational understanding, creative and vision. compensation practice has important implication for organization, individual, society as whole (John, Bernardino 1998).

Compensation is what employees received in exchange for their contribution. In the fact it is a broader concept and it is more than just pay check or in cash in the package of compensation various types of monetary and non- monetary reward exist organization benefit it form the compensation management in attracting motivating and rerating and attractive work force (Christen m Hogan 2008).

From the employees point of view pay a necessity in life few people are so wealthy that they do not accept financial remuneration for their work. The compensation received for work is one of the chief reasons people seeks employment.

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Compensation deals with every type of reward individual received in exchange for performing organizational task. It is one of the major method used retaining employees and motivate them effective performance (None Hollanbeckgerhad 2001).

Since commercial bank is a service giving organization compensation management is essential in order to get more customers in a competitive environment.

Compensation is human resource management function that deal with every type reward individual receives in exchange for performing organization task. Organization compensation those employees through wage and salaries, bonus and any benefit such as health insurance, vacation time, pension programs this activity is important to increases the performance of employee (Dessergary 1994)

Since the business is existing in competitive environment and the cost nature of compensation. Its miss management may lead to the death of the whole organization managing compensation is not such easy task it requires professional also technically knowledgeable and sensitive to employee needs (Wallce F luisr Gomez 1979) It is important the employee' s earning a direct result of work they perform. The manager should make sure that each employees understand why he/she does or does not receive compensation.

1.2 Statement of the problem

Service rendered by individual to organization to has to be adequately paid for. This compensation generally comprises cash payment, bonus for good work and share profits. Compensation could also be in the nature of promotion reward for praise. Worker also drive ascertain amount of personal satisfaction as compensation for job well done. It is difficult to outline and explain every aspects of the payment compensation besides wages. There are attain aspects of job compensation, which an employee looks for such as job satisfaction, job compensation which an employee looks for as job content responsibility etc. (casio,1995).

It is very known that well administrated compensation system practice in an organization result in reducing turn over in an organization, increasing job satisfaction and increasing moral of employees. Compensation system contributes for the worth function of the organization in significantly. But it is not common in our country is due to the fact that employees have no choice except to be employed in the organization, even though they know the problems. (Alganih bezabih,2015).

Researcher will be focus on the problems that are common in the bank. Lake of know how the employees only who invent new work. Problem on compensating employee

based on performance, does not give flexible work time for employee, give more priority to compensate employees for only who have high performance. Does not employees work over time, no position among the employees in the organization; provide reward only for employees who contribute more does not consider who contribute less. The bank should give great deal of important and must be able to understand and manage its very well. Otherwise there would be problem arise and lead to great deal of loss in the bank performance. Compensation is the problem many organization, regardless to the nature of activity, physical location and their size based on these reason the bank manager to compensate the employees financial and none financial service because of the bank compensation increase the effectiveness and efficiency of the bank by increasing productivity and profit. So the employees' compensation is the central part of employment relationship from the employees' point of view and policy having the overall role on their relationship with the organization (Mondy, R. Wayne 1999).

Other researchers also reach on the following conclusion based on his finding.

- ✓ Limitation of present salary payment is not cover expense and basic need.
- ✓ Salary deduction policy is not based on written consent employees.
- ✓ Incentive and reward allocation not based on their performance evaluation result.
- ✓ Benefit allocation not based on equity like special training.

1.3 Research question

The researchers will try to answer the following questions: -

1. What is the compensation management practice of the organization ?
2. How employees perceive the reward system organization ?
3. What are the facts that hinder the practice compensation management ?
4. What are the benefit of compensation to the both employees' motivation and bank ?

1.4 Objective of the study

1.4 .1 General objective study

The general objective of the study will be assessing compensation management practice in case of commercial bank of Ethiopia at Chilalo branch.

1.4.2 SPECIFIC OBJECTIVE OF STUDY:

1. To assess existing compensation practices of the organization.
2. To assess employee' s perception to the reward system.
3. To identify the factors that hinder the implementation of compensation managements practice.
- 4 .To explain contribution of compensation system on employees and the bank.

1.5 Scope of the study

The study will be conducting on commercial bank on Chilalo branch specifically on the assessment of compensation management practice. The study will have focused only one branches of commercial bank it may not represent the general idea of the bank.

1.6 Significance of the study

This study will have its own contribution and usefulness to the following group. It will use as reference for future studies in related areas. In addition to that, it will benefit the research by gaining skill to do further study for the policy maker. it can be tool to check existing problem and task corrective measure.

CHAPTER TWO

2. REVIEW OF RELATED LITERATURE

2.1 OVER REVIW OF COMPENSATION

The history of making level of paying someone her working is a long tradition which expressedin employee' s relationship is the product of industrialization but management

of pay is recent phenomenon. The field will be professional and highly standard in twenty centuries.

Especially the economic and social pressure of the 1990s and 2000s has forced in to accesses formula more multi-disciplinary approach of compensation on management. Given the fact that those labor cost are significant part of operating expert management and strategy. It is often expressed as compensation administration when its consent and principle are applied to particular organization. Manager of compensation will have immersed in the one of the society great challenge. As all ready noted compensation decision are many and vary. This includes how much to pay people to perform both similar and different types of work (H. JohnBernardino, 2003).

Employees' compensation refers to the all form of payee or reward going to employee and arising from their employment. reward includes direct compensation indirect compensation and non-financial reward. Developing an effective and appropriate compensation system is an important part of human resource process. An effective and appropriate compensation system can help attract and retain competent and talented individual who can help the organization accomplish its mission and goal (dessler2002).

2.2 Empirical reviews

Remuneration dues not simply compensation employees for their effort has impact on the recruitment and reaction of talented people according to Malkovich and new (2001). Armstrong (2005) in his own analysis says compensation management is all about development relationship and psychological content that adapt total compensation approach which recognize that there are number of ways in which people can compensate.

According to calista (2009) compensation is lead to better performance and keep worker to focus on their work.

Harrison and Liska (2008) in their study reward is central policy of employment contract after all it main reason why people work. This includes all type of reward both intrinsic and extrinsic that are received as result of employment by the organization.

According to Janitor (1996) well design and functional compensation is an efficient way to increase employees work motivation.

Lack of compensation is one of appropriate main reason behind to the employees turn over.

Researcher will be used to study and analysis of compensation system on employee' s motivation in the commercial bank of Ethiopia at Chilalo branch.

- ✓ To study the gap in terms of compensation component offer by organization and expected by employees.
- ✓ To know the effect of compensation management system on productive level of employees.
- ✓ To analysis the factor that hinder the compensation management system.
- ✓ To know satisfaction level of employee with respect to their current compensation structure. (www.ofpc.edu/compensation_policy.com).

2.3 Pay equity

Organization must attract, motivate, and retain competent employees. Because achievement of this goal is largely accomplished through firm' s compensation system. organization must strive for compensation equity. Pay equity is perception by the worker that they being treated equally (fairly).

There are several dimension of equity:-

Internal equity: is payment of employees according to their relative value of their job within organization.

External equity: payment of employee at comparable to worker who perform similar job in other organization.

Individual equity: condition that exist when individual performing similar job for the same firm are paid according to factors unique to the employee, such as performance level or seniority.

Team equity: paying more productive team in an organization at higher rate than less productive team (Mondy, R.woyne, 1999).

2.4 Definition of compensation management

Compensation management is vital segment of over compensation management and strategy. Compensation management is concept where employee' s compensation a wage and salaries employees administered in systematic and scientific way. This concept includes compilation and implementation of rational polices related to wage, salaries and another allied benefits of employee compensation (Ginarayandppd 200 page 139).

The expressed as compensation administrations the concept and principle applied to a particular organization. The ultimate objective of compensation a administration are efficient maintenance of productive work force suitable the law and regulation (Richrdic Bachelor 2000).

Into day business work such as effort is enhanced by improving the quality of work life of employee through various methods (HjhnoBernarding 2001 page 213).

Compensation includes payment such as bonus, profit sharing over time, recognition reward, checks and sale commotion (Gary desler and Bivvarkkey 2011 page 398),

2.5 Objective of compensation

Establish Equity: One of the important reasons for making compensation plans is to establish equity. It refers to increasing the wages of the employees who are paid low and eliminating inequalities in the organization. For this, concept of equal work for equal pay should be followed.

Increase Worker's Efficiency:

One of the most important reasons for compensation is to increase the efficiency of the employees. It plays vital role in the motivation of the employees.

Macroeconomic Stabilization:

Compensation is aimed at achieving macroeconomic stability. This can be attained by high employment rate and low inflation rate.

Effective Distribution of Labor

Compensation is designed to distribute labor effectively in labor market which means that employees can move wherever they find a profitable job.

2.6 Type of compensation

2.6.1. FINANCIAL COMPENSATION:

Financial compensation is most popular and important compensation that is given in the form of money. It is the most important motivational factor that satisfies employees' basic needs like food, clothing, etc.

Financial compensation divided into two

1. Direct compensation

Refers to the monetary benefit offered and provided to the employee in return to their service provided to the organization. Direct compensation is typically comprised of salary payment and health benefit. Monetary benefit includes, salary, house rent allowance, conveyance, leave travel allowance, bonus, etc.

Basic salary

Employees receive a salary in exchange for the day, week, or months' worth of work they have completed. In exchange for their work, many employees receive benefits from their company.

House rent allowance

Organization either provide accommodation to its employee who from different state or country or they provide house rent allowance to the employees.

Conveyance

Organization provide for the cab facility to their employee, few organizations provide vehicle and petrol allowance to their employee to motivate them.

Leave travel allowance

Provide to retain the best talent in an organization. The employees are given allowance to visit any place which they wish with their family.

Bonus

It is extra payment or unexpected payment and welcome thing to the employee from the organization. The organization will pay the bonus at the time of festival season to motivate them and to provide them social security.

Special allowance

Such as over time, mobile allowance, meal commission and travel expense, reduced internet loan, club membership, etc

2 Indirect Compensation (Fringe Benefits):

Dessler refers to indirect compensation as the indirect financial and non- financial payments employees receive for continuing their employment with the company which are an important part of every employee's compensation. Other terms such as fringe benefits, employee services, supplementary compensation and supplementary pay are used.

Armstrong says indirect compensation or employee benefits are elements of remuneration given in addition to the various forms of cash pay. They also include items that are not strictly Remuneration such as annual holidays.

indirect compensation includes;

Leave policy

It is the right of employee to get adequate number of leave while working with the organization. Organization provides for paid leave such as medical leave, casual leave, family illness leaves, sick leave, etc.

Insurance

Organization also provides for accidental insurance and life insurance for employees, these give them emotional security and they feel themselves valued in the organization.

Retirement and benefit

Organization provides for pension plan and other benefit for their employees which benefit them after retire from the organization at the reached particular age.

Holiday home

Organization provides for holiday home and guest house for their employees at different location. These holiday homes are usually located in historical and other most wanted holiday spots.

Flexible timing

Organization provides timing to the employees who cannot work during normal shift due to their personal problem.

2.6.2 Non-Financial Compensation:

Non-financial compensation refers to compensating employee not in form of money but in some other forms that stimulate employees' morale and also improve his performance. Non-financial compensation consists of the satisfaction that the person receives from the job itself or from the psychological and the physical environment that in which the job is performed (Mondy R. Wayne, 1999).

It can be in the following forms, Job security, recognition, participation, delegation of responsibility, and other incentives. Good compensation plans, well administered have a salutary effect on the entire enterprise. Employees are happier in their work, co-operation and loyalty are higher, amount of output is up, and quality is better. In the absence of such

plans compensation is determined subjectively on the basis of haphazard and arbitrary decisions. This creates several iniquities which are among the most dangerous sources of friction and low morale in an enterprise.

2.7 Who makes compensation decision ?

More is known about who makes compensation decision than some other factors. But those simple decisions on how much to pay what system to use what benefit to offers to management decisions that determine the total amount of the firm get to be earmarked for pay to be used (Example time scale vs. incentive pay, incentive especially at the top the organization). As the firm grows in size compensation specialist at the general managers and job incumbent may also have input large organization in now involving more individual in determining pay. Today top manager and compensation specialist jointly establish over all financial and operating goals and for different then each level of management establishes its own plan of support corporate compensation objective. The new system rest of performance appraisal directly linked to overall strategic goals for the firm most employee' s benefits are issues open to committee bargaining are (Redwivedi 2001 page .233).

2.8 Importance of compensation to the organization

A well designed compensation and benefit plan to attract, motivate, and retain talent in the organization .and it has its own role in the organization .it use to; attract capable employee to the organization, motivate employees towards superior performance, to retain their service over extended period of time; increase moral satisfaction of employee and also to achieve internal and external equity to increase job satisfaction.

If there is an appropriate compensation system, it will encourage normal worker to perform better and achieve the goal of the firm.

2.9. Factors affect compensation

A. Cost of leaving: people leaving on fixed income are especially hard hit by inflation, most employee also suffer financially.

B. Economic condition: definitely affects financial compensation .it especially affects degree competitiveness this affects the organizational ability to pay high wage. If the firm is very productive it can be high.

C. Government legislation: the federal and state government affects the amount of employee receives. Government has enacted law to protect the interest of working class.no organization can violate the law.

D. productivity: there is an increasing trend towards linking wage increase in productive or performance of the worker. etc. (Mondy R.Wayne 1999).

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2.10 Compensation policy

The technological progress in payment and settlement system and quality change in operation system process that have been undertaken by various payer in market forces of compensation have enabled to come in to pay to improve efficiencies in provide better service to user of the system .the policy is based on principle of transparency and fairness in the treatment customer (www.ofpc/compensationpolicy).

2.11. The objective of compensation policy

The objective of this policy is to Establish a system where organization compensate the customer or any financial loss he or she might incur due to deficiency in services on part of organization or any act omission or commission directly attributable to the bank.

There are many factor which also roles in the establishment of rational compensation policy, some of them are:-

- ✓Scarcity supply of skill flightiness of laborer market laborer mobility and market activate in response to pay differently.

✓Recruitment and relation associated costing moving physical and psychological

✓Life style aspiration of current employees (www.ofpcedu/compensation policy).

2.12. The job as determinant of financial compensation

The individual employee market force has become most prominent as wage criteria in some firm. However, the job itself continues factor, especially in the firm that have internal pay equity as primary consideration. Management techniques utilized for determining a job relative worth **includes**

A. **Job analysis:** is the systematic process of determine the skill and knowledge required for performing the job. Job description is the primary by product of job analysis, consisting written document that describes essential job duties or function and responsibility.

B. **job evaluation:** is that part of compensation system in which affirm determines that relative value of one job in relation to another. the basic purpose of job evaluation is eliminating pay inequalities.

The four historic job evaluation method

Ranking method: is the simplest method of job evaluation rater examines the description of of each job being evaluated and arranging the job in order according to their value of the company.

Classification method: Job evaluation method in which classes or grade are defined to describe a group of job.

Factor comparison method: rater need not kept an entire job in mind as they evaluate and make decision assumption.

Point method: rater assign numerical value to specific job component and the sum of these values provided quantitative assessment of job relative worth (R.wayne, mondy, 1999).

CHAPTER THREE

Research Methodology

3.1 The Research design

Research design is the arrangement of condition for collection and analysis of data in manner that aim to combine relevant to the research purpose with economy in procedure.

In this study descriptive research designed will be applied. because it tries to describe the nature of existing problem and come up with appropriate solution it describes compensation management practice on commercial bank of Ethiopia Chilalo branch.

3.2 Research approach

In this research the researchers will use both quantitative and qualitative data.

3.3 Population of the study

The target population study will be 41 employees and 2 managers in commercial bank of Ethiopia Chilalo branch.

3.4 Sampling technique and sample size

The researchers will use census sampling technique. The reason behind this is that employees are small in number enable to acquire reliable, accurate and detailed information from each employee. There for the sample size will 41 employees and 2 managers. Because of the populations number is small.

3.5 Source and method of data collection.

In this research the researchers will use both quantitative and qualitative data. The researches will also apply both primary and secondary data. Those primary data will be collected through questionnaire and interview from the manager. The reason that the researcher uses questionnaire method of data collection is to save time and to make the data collection easy. Secondary data will be collected through reading of books and written material documents. We will prepare the questions in English language for the accountants and the question will translate to Amharic language for the bank securities.

3.6. Method of data analysis.

After gathered data it will be processed which involves, classifying and tabulation the data check and adjust for omission and errors the completeness of data is ensure. Then the data will be sorted as it facilitates subsequent processing and analysis of data. In order to reduce a large volume of data in to homogenous to get meaningful relationship among the variable that affect compensation schemes.

3.7 Work plan(Time budget)schedule.

A	B	C	D	E	F	G	H	I
Num ber	Task	Decembe r	January	Feburary	March	April	May	June
1	Selectin g the topic andvisiti ng the study areas	✓						
2	Proposal writing		✓					
3	proposal presenta tion							
4	Data collectio n	✓						
5	Data analysis		✓					
6	Submiss ion of final paper						✓	

3.8. Cost (Budget) Breakdown.

Item	Quantity	Unit cost (in birr)	Total cost
Binding	2	25 .00	50 birr
Flash	1	400	400 birr
Tea	2	30	60.birr
White paper	30	2 birr	60 birr
Others	-	-	-
Total			570

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